

South Korea already had a deep cultural respect for the rule of law, with lots of precedent for enforcing private property rights.

Despite all of these positive characteristics, Korean equities traded at an increasing discount to the rest of Asia. So we spent a lot of time trying to figure out whether there was a good explanation for this apparent anomaly. Our model is to always find experts in the domain, river guides so to speak. We developed a close relationship with a scion of the family controlling one of Korea's largest consumer electronics companies. He is an American, but was nevertheless very much an insider who gave us great access. We got our fingernails dirty. I probably traveled to Korea 10 times in the space of 18 months. We met lots of people on the buy side, the sell side, and in industry. We hired an undergrad from Berkeley who had recently emigrated from Korea. He did a lot of Korean-to-English translations of financial statements.

After all this research, we became convinced that the logic for why Korea was cheap was circular. Korea was cheap because it had consistently been cheap. For several years, Korean companies that generated steady and impressive cash flows kept getting cheaper. Investors who had bought Korea earlier as a value trade had gotten burned, even though it seemed like their thesis was sound. By the time we arrived at the scene, there were lots of companies trading at substantial negative enterprise values. [A negative enterprise value implies that the market is assigning a negative value to the company, excluding its cash assets and debts.] There were companies with market caps of \$300 million, no debt, and \$550 million cash on the balance sheet, which was expected to increase to \$650 million in the following year. In this case, there was tremendous asymmetry simply because these companies had nowhere to go but up.

What got the market to realize value eventually?

The passage of time. The inexorable accumulation of profits can only be ignored for so long until it acts as a catalyst for higher prices.

You talked earlier about how most of your trade ideas don't work out once you do the deep research. Can you give me an example of how research disproved what you thought was a great idea at the outset?